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2.9 Target Operating Model

Who does what in the target state: RACI by pattern, role profiles, accountability for time and risk, and the organisational impact

Deliverable	2.9 Target operating model: to-be RACI, role profiles, SLA and sampling accountabilities, organisation impact by role and segment
Version	0.6 – structure and role changes complete from 2.3 / 2.4 / 2.6 (Week 11). FTE-equivalent impacts illustrative until 1.5 measured; v1.0 at Design Authority (Week 12) with Business Owner acceptance; SD-04 capacity treatment remains a management decision post-G2
Derived from	2.6 people gaps GPe-01 to GPe-08; 2.3 lanes; 2.4 RS-13 and sampling design; 2.5 CE-001 / CE-003; 1.5 effort baseline; 1.10 sizing; 0.1 charter SD-04
Owner	WS5 People & Change (Change Lead) with WS1
Accepted by	Business Owner; Heads of segment, Credit, Lending Services, Fulfilment, SBS (for their roles)

Capacity, not headcount. This document describes what each role does differently and the capacity that shifts as a result. Per charter decision SD-04, whether released capacity becomes headcount reduction or redeployment is decided by line management after G2 and is outside this document. FTE-equivalent figures in section 6 are illustrative (from 1.10 on assumed inputs) until the measured effort baseline replaces them.

1. Operating model on one page

Element	As-is	To-be
Work arrives	Reports, phone, email; RM finds the customer	System events into role queues; context loaded (SC-1)
Routing	By deal type; one path	By risk and materiality (RS-01/02/03); three routes
Who approves	RM reads DA matrix; Credit assesses all routed deals	Platform determines authority (RS-05); line approves fast routes with evidence; Credit assesses full route and samples fast routes
Documents	RM issues PDFs; LS instructed by email; Fulfilment by message	Platform generates and delivers; LS and Fulfilment work queues from conditions and gates
Time	Nobody owns end-to-end; no SLAs	Stage SLA owners; Head of Lending Operations owns end-to-end cycle time (KPI T2)
Risk oversight	Preventive only (Credit assesses everything)	Preventive on full route; detective on fast routes (sampling, cohort MI, suspension)
Rules	Policy documents applied by reading	Fourteen rule sets owned as data by named functions
Data	No owners; lineage in scripts	Named owner per field group; change control on protected fields
Distress	RM judgement; file transfer; sequential authorities	Flag-driven; referral record; SBS queue; parallel where policy allows

1.1 Roles in scope

Role	Segment(s)	Population (DR-11, TBC)	Change intensity
Relationship Manager (RM)	Strategic Finance, Corporate	[DR-11]	High: content shifts; new accountability
Business Direct adviser / team leader	Business Direct	[DR-11]	High: volume segment; team leader approves fast routes
Line manager / approver	All	[DR-11]	High: new fast-route accountability
Credit assessor	All	[DR-11]	High: caseload mix; sampling function
Credit manager	All	[DR-11]	Medium: escalations; sampling oversight; suspension
Lending Services / Securities	All	[DR-11]	Medium: queue working; instructions from conditions
Fulfilment	All	[DR-11]	Medium: queue working; gate-released tasks
Business Operations / Corporate Associate	SF / Corporate	[DR-11]	Medium: wet-ink checks only; letter admin largely removed
SBS / PS	All	[DR-11]	Medium: referral record; structured memo; queue
Credit Risk Policy	—	—	High: owns nine rule sets as data
MI & Regulatory Reporting	—	—	Medium: lineage and field ownership; new MI
Second line	—	—	Medium: equivalence oversight; sampling MI recipient

2. RACI by pattern and component

R responsible · A accountable · C consulted · I informed. One A per row. Rows are the main decisions and hand-offs of the target design; routine steps follow the lanes in 2.3.

Activity	RM / BD	Line / TL	Credit assessor	Credit manager	Lending Services	Fulfilment	SBS	Credit Risk Policy	Lending Ops (Head)	MI / Reg Rep	2nd line
SC-1 Deal start											
Act on event task within SLA	R	A							I		
Confirm scope; capture reason codes	R/A	I						C (taxonomy)			
Act on early-warning prompt (refer or justify continue)	R	A	C				I				
Pre-screen decline with reason	R	A							I		
SC-2 Decision core											
Prepare submission to RS-04 standard	R/A	I	C								
Approve R-FAST (P2 / P3) within authority	R (SF, per RS-13)	A (BD TL; SF line; Corp line)	I	I							
Assess R-FULL and decide	I	I	R	A							
Defer with structured request; escalate at limit	R (respond)	I	R	A							
Sample fast-route approvals; record findings	I	I	R	A				C	I	I	I
Suspend R-FAST for a segment on findings	I	I	C	R				A	I		I
Maintain RS-01 to RS-05, RS-10 to RS-12 thresholds			C	C			C (RS-11)	R/A	I		C
SC-3 Completion											
Respond to chase; extend at week 10 with reason	R	A							I		
Wet-ink letter check (RS-13 role)	R (BD) / Bus Ops (SF) / Corp Assoc	A									
Prepare, execute, register security within SLA	I				R/A				I		
Evidence conditions precedent	R/A	I	C		C						
Fulfil within SLA	I					R/A			I		
Removal sequence (release, remove)	R (repayment)	I			R (release)	R (remove)			A		

Maintain RS-06, RS-07, RS-08, RS-13, RS-14					C (RS-07)			C	R/A		C (RS-08)
P5 Distressed											
Raise referral record	R	I	R	A			I				
Credit authority decision on referral	I		R	A			C				
Categorise; forbearance; strategy; recovery data; approve	I		I				R/A	C		I (protected fields)	
Cross-cutting											
End-to-end cycle time (T2) and stage SLAs	I	R (stage)	R (stage)	R (stage)	R (stage)	R (stage)	R (stage)		A	I	
Protected fields and lineage							R (F10, F11)	R (F06)	R (F03, F13)	A	I
Equivalence oversight; cohort MI review				R				C	I	R (MI)	A

3. Role profiles · what changes

Relationship Manager / Business Direct adviser GPe-01, GPe-02 · highest change intensity	
Purpose (to-be)	Own the customer relationship and the quality of the submission; decide scope; act on system prompts; approve within held authority where RS-13 assigns it.
Stops doing	Navigating to find customers and deals; issuing letters by email and tracking in mailboxes; chasing Credit, LS and Fulfilment by message; reading the DA matrix; re-keying analytics; recording ESR Cleanse migrations as deals; deciding whether a signature is needed; instructing security by email.
Starts doing	Confirming scope and reason codes at deal start; responding to early-warning prompts; preparing to a stated submission standard; responding to structured requests; extending stale letters with reason; evidencing CPs in the single view; (SF, per RS-13) approving eligible renewals and administrative variations within authority with system evidence.
Keeps doing	Customer analysis and credit memo on R-FULL; customer contact; decline communication; relationship time.
Accountability change	Fast-route approvals (where RS-13 assigns to RM) carry personal accountability supported by rule evidence and sampling. Addressed by clear criteria (RS-01, RS-03), evidence attached automatically, training, and sampling feedback rather than blame (DB-06).
Skills	Submission standard; reason taxonomy; reading rule evidence; new platform. Less: system navigation; document admin.
Measures	Submission first-time-right (R1); scope accuracy (sampling findings on coding); T7 renewal lateness; customer relationship time (survey N01).
Capacity shift (illustrative)	≈ 23 FTE-eq released across RM / BD / Bus Ops (1.10 §4.1), mainly from letters (OP-15), deal start (OP-14), fast-track preparation (OP-01) and manual DA (OP-06); intended destination: customer time and lead handling, per SD-04.

Line manager / Business Direct team leader GPe-02 · new accountability	
Purpose (to-be)	Approve fast-route deals within line authority (BD team leaders; SF and Corporate line per RS-13); own stage SLA for deal start and completion in their team; act on escalations.
Starts doing	R-FAST approvals with evidence review (not re-assessment); extension approvals at week 10 visibility; queue management against SLAs; acting on sampling findings for their team.
Accountability change	Becomes the authority holder for the fast route in volume segments. Requires: held authority in platform profile; training on RS-01 / RS-03 evidence; sampling MI by team.
Measures	Team SLA attainment (S1, S3); sampling finding rate; approvals within authority (100% by construction).

Credit assessor and Credit manager GPe-03, GC-05 · caseload and function change	
Purpose (to-be)	Independent assessment of R-FULL deals; detective assurance over fast routes; escalation decisions; co-ownership of rule thresholds with Credit Risk Policy.
Stops doing	Assessing eligible unchanged renewals and administrative variations (subject to PQ-001 / CE-001 / CE-003); re-reading resubmissions from scratch; free-text deferral requests; distress screening as the first point of detection.
Starts doing	Sampling review of fast-route approvals (new function, CE-001 §6.3); structured deferral requests; escalation decisions at loop limit; quarterly cohort MI review; feeding sampling findings into RS-01 / RS-03 / RS-04 maintenance; parallel referral review (PQ-002).
Keeps doing	Full assessment and decision on R-FULL; distress judgement; appeal review (independent assessor).
Dis-benefit	DB-01: average case complexity rises as simple cases leave the queue; assessment time per case may increase. Netted in 2.13 against capacity released. Role profile and grading reviewed by Head of Credit.
Sampling function	Illustrative: 10% of ≈ 7,100 eligible renewals + ≈ 4,400 administrative variations ≈ 1,150 samples / yr ≈ 0.5–0.7 FTE-eq at 45–60 min each; rate reviewed quarterly, floor 5%. Reviewer must be independent of the segment's line approvals.
Measures	S2a queue SLA; R1 first-time-right (shared with RMs); sampling completion and finding rate; cohort outcome parity (fast vs. full).
Capacity shift (illustrative)	≈ 5 FTE-eq released (OP-01, OP-02, OP-17) less ≈ 0.6 FTE-eq sampling and the DB-01 complexity effect (to measure).

Lending Services / Securities · Fulfilment · Business Operations / Corporate Associate GPe-04, GPe-06	
Lending Services	Works a queue with SLA; instructions arrive from approval conditions (no transcription); registration status recorded with evidence; no instruction on unchanged security; removal release before system release. Own tracker retired. Measures: G-SEC SLA; instruction-to-complete time by security type.
Fulfilment	Tasks released by gates with terms attached; no message hand-off; SLA; fee keying retained until INT-03. Measures: S5 SLA (T6).
Business Operations / Corporate Associate	Letter issue and chase removed; wet-ink checks only (RS-13); Corporate Associate retains Corporate checks under C27. Capacity shift: part of the ≈ 6 FTE-eq in OP-15; redeployment per SD-04.

SBS / PS GPe-07	
Changes	Works from a queue of flags and referrals; reviews a shared referral record (no file re-read); parallel with Credit where PQ-002 allows; structured memo on platform; takes ownership via audited transfer, not batch; owns F10 and F11 field definitions jointly with MI. Measures: T8 referral-to-categorisation; flagged-connection conversion rate.

Credit Risk Policy · MI & Regulatory Reporting · Second line GPe-08; GPo-03, GPo-04; GC-05	
Credit Risk Policy	New ongoing role: owner of RS-01, 02, 03 (with Lending Ops), 04, 05, 10, 11 (with SBS), 12 as data; quarterly threshold review against cohort MI; DA matrix maintained as data under change control; policy questions PQ-001 to PQ-005 answered and recorded. Effort: initial co-design W8–10; then ≈ 1–2 days per quarter.
MI & Regulatory Reporting	Owner of the lineage register and protected-fields list (OP-25); accountable for field-group ownership assignments; produces pattern dashboards, sampling and cohort MI, control MI; re-issues stage mapping for the to-be. Manual adjustments MA-01 to MA-03 retired over time.
Second line	Signs equivalence register; receives sampling and cohort MI quarterly; may require suspension; reviews CE-001 / CE-003 after two quarters.

4. Accountability for time and risk

4.1 SLA ownership (DP-04 precondition, GPe-05)

Stage (1.4 model)	SLA owner	Proposed SLA (working days)	Escalation	Metric
S0 Event to deal start	Line / team leader	5 from task creation	Head of segment	T7 (renewals)
S1 Preparation to submission	Line / team leader	P2 R-FAST 5; P2/P3 R-FULL 10; P1 15	Head of segment	T3 S1
S2a Credit queue	Credit manager	3	Head of Credit	T4
S2b Credit assessment	Credit manager	5 (excl. deferral wait on customer)	Head of Credit	T3 S2b
S3a Letter generation and issue	Platform (automatic)	Same day	Lending Ops	T3 S3a
S3b Customer return	RM / line (chase)	RS-08 schedule	Line at week 10	T5; R4
G-SEC Security	Head of Lending Services	By security type: 10–30	Head of Lending Ops	EX-05 measure
S5 Fulfilment	Head of Fulfilment	2	Head of Lending Ops	T6
S6 Referral to categorisation	Head of SBS (with Credit manager)	10	Head of Lending Ops	T8
End to end (T2)	**Head of Lending Operations**	**Per pattern target (2.11)**	**SteerCo / Business Owner**	**T2 by pattern**

SLAs are proposals for line agreement in Week 11; the design requires that each has an owner, not that these values are adopted.

4.2 Risk oversight model for fast routes

Layer	Mechanism	Owner	Cadence
Preventive	RS-01 / RS-03 eligibility; RS-11 exclusion; RS-05 authority; RS-04 items	Credit Risk Policy (rules); platform (evaluation)	Per deal
Detective 1	Credit sampling with findings	Credit manager	Monthly
Detective 2	Field-change exception report (administrative variations that changed monitored fields)	MI; Credit manager	Monthly
Detective 3	Cohort outcome MI (fast vs. full)	MI; Credit Risk Policy	Quarterly
Response	Segment suspension; threshold change; individual feedback via line	Credit Risk Policy (A); Credit manager (R)	On trigger
Oversight	Equivalence review; Risk Committee reporting	Second line	Quarterly; formal review after two quarters

5. Governance of rules and data in run

Asset	Owner (A)	Change process	Review
RS-01, 02, 04, 05, 10, 12 (credit rules)	Head of Credit Risk Policy	Proposal with cohort evidence → Credit Risk Policy approval → four-eyes entry → effective date; second line informed for RS-01	Quarterly
RS-03 (taxonomy and materiality)	Head of Credit Risk Policy (materiality); Lending Ops (codes)	As above; new codes default R-FULL until classified	Quarterly
RS-11 (early warning)	Credit Risk with SBS	As above; thresholds tested against referral outcomes	Quarterly
RS-06, 07, 08, 13, 14 (operational rules)	Head of Lending Operations (RS-07 with Lending Services)	Lending Ops change control; second line informed for RS-08; Legal for RS-06 templates	Semi-annual
RS-09 (loop limits)	Head of Credit	Credit change control	Semi-annual
DA matrix (data)	Head of Credit Risk Policy	Existing policy governance; loaded as versioned data	As policy
Letter templates	Head of Lending Operations with Legal	Template change control; CE-004 compensating control	On change
Protected fields and lineage	Head of MI & Regulatory Reporting; field owners per 1.8 §6	Change control; owner sign-off; cut-over reconciliation for P1	On change; annual attestation
Patterns and SLAs	Head of Lending Operations	Design Authority (run-mode) for pattern change; line agreement for SLAs	Annual

5.1 Design Authority in run mode

After G3 the Design Authority continues at reduced cadence (quarterly) as the forum that approves pattern, rule-ownership and SLA changes, reviews sampling and cohort MI with second line, and decides on fast-route extensions (e.g. P1 Increase fast-track, Release 2). Membership unchanged; chaired by Head of Lending Operations.

6. Organisation impact

6.1 Impact by role and segment (illustrative capacity; measured at v1.0)

Role	Business Direct	Strategic Finance	Corporate	Nature of impact	Illustrative capacity shift
RM / BD adviser	High	High	Medium (C27 limits fast route to line)	Content shift; letters, navigation, chasing removed; approval accountability (SF)	≈ 23 FTE-eq released (incl. Bus Ops)
Team leader / line	High	Medium	Medium	Fast-route approver; SLA owner	+ small (approval time)
Credit assessor	High (pooled)			Caseload mix; sampling function	≈ 5 released; ≈ 0.6 to sampling; DB-01 to measure
Lending Services	Medium			Queue; instructions from conditions; no unnecessary re-instruction	≈ 1.4 released (OP-02); OP-21 unsized
Fulfilment	Medium			Gate-released tasks; SLA	Small; chasing removed
SBS / PS	Medium			Queue; shared record; structured memo	Small; T8 improvement
Credit Risk Policy	New run role			Rule ownership	+ ≈ 0.1 FTE-eq ongoing
MI & Reg Reporting	Medium			Lineage ownership; new MI; adjustments retired	Net neutral to small release

6.2 Spans, layers and structure

- **No change to reporting lines is required by the design.** Accountabilities are added to existing roles (fast-route approval to line; sampling to Credit; rule ownership to Credit Risk Policy; SLA ownership to heads of function). Structure change, if any, follows the SD-04 decision and is for line management.
- **One new function:** fast-route sampling within Credit (≈ 0.5–0.7 FTE-eq illustrative), independent of segment line approvals. May be a rotation rather than a post.
- **One accountability made explicit:** end-to-end cycle time sits with the Head of Lending Operations, who already chairs the Design Authority.
- **Segment variation reduced to RS-13.** Corporate retains line-only fast-route approval and Corporate Associate checks under C27.

6.3 Transition considerations (input to Phase 3)

Item	Consideration	Owner
Fast-route accountability	Authority profiles loaded before go-live; training on evidence reading; first two quarters with higher sampling and explicit no-blame feedback loop	Heads of segment; Head of Credit
Credit caseload	Monitor assessment time per case from go-live; adjust resourcing if DB-01 exceeds assumption	Head of Credit
Capacity treatment	SD-04 decision after G2; benefits plan (Phase 3) aggregates by team; redeployment to customer time is a valid realisation	Business Owner; Finance
Team trackers	Retired at go-live; queue MI replaces them; short overlap tolerated	Heads of LS, Fulfilment, Credit
Rule ownership	Credit Risk Policy resourced for W8–10 co-design and quarterly review thereafter	Head of Credit Risk Policy
Pilot segment	Business Direct recommended (volume, lowest C27 complexity, team-leader approval model); SF follows	Business Owner